Signé par Em

No. 02

COLLECTION

BUYERS

The Cost

Costly firs
them

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

The 5 Mistakes That Cost Buyers $10,000 · Collection Buyers · Guide No. 02 · 2026 Edition

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The 5 Mistakes That Cost Buyers $10,000

Costly first-purchase traps – and how to avoid them

Buying a property is exciting. But a few common mistakes, almost always avoidable, can cost you thousands of dollars - sometimes ten thousand and more. The good news: they are known, predictable, and this guide shows you exactly how to get around them.

Each chapter dissects a common mistake: why we make it, what it costs, and the simple reflex that protects you from it. At the end, an action plan and a multiple choice question to anchor everything.

Use the "My Notes" section after each chapter to identify if you are at risk... and correct your situation before it's too late.

This guide is quick to read and keeps at your fingertips: each error fits on one page, with the reflex that avoids it. Go through it in its entirety first, then come back to it at each stage of your purchase - from pre-approval to signing at the notary.

The amounts quoted are orders of magnitude (2026 edition): always validate the exact figures with your broker, your mortgage broker and your notary, as they vary depending on the property, the municipality and your situation.

CHAPTER

Mistake #1 - Shopping without real pre-approval

> *Understanding why buying without solid pre-approval leads to overpaying or disappointment.*

The mistake: visiting properties, falling in love, then discovering that the financing doesn't follow - or worse, committing beyond one's means. Without pre-approval, we know neither its real amount, nor its guaranteed rate, nor its room for maneuver.

What it costs

- A crush lost to a pre-approved buyer (in a fast market).
- A purchase above its real capacity, revealed too late, with suffocating payments.
- Weeks wasted visiting in the wrong price range.

The reflex that protects

Obtain pre-approval (confirmed amount + guaranteed rate 90 to 120 days) BEFORE shopping. Remember that the lender qualifies your file at a higher “qualifying” rate than the actual rate (the stress test): the amount may be more conservative than expected, but it is your safety limit.

Concretely, a pre-approval verifies your income, your debts and your credit, and guarantees a rate for a period of time (often 90 to 120 days). It's this document - not an estimate over the phone - that makes you a credible buyer and protects you if rates rise during your search.

> EMILIE'S ADVICE
>
> *Pre-approval is not paperwork: it's your negotiating power. A seller almost always chooses the offer with the strongest financing, at the same price.*

CHAPTER

Mistake #2 - Underestimating “invisible” costs

> *Budget for all purchase costs, not just the down payment and mortgage.*

The mistake: calculating the down payment and the monthly payment, then being surprised by a pile of very real costs. Added together, they often exceed $10,000.

Costs to be expected

- Welcome tax (transfer duties): a few thousand dollars, payable after purchase.
- Notary fees.
- Pre-purchase inspection and, if necessary, specialized expertise.
- Adjustments to the notary (taxes already paid by the seller, fuel oil, condo).
- Home insurance, moving, first repairs and maintenance reserve (~1%/year of the value).

None of these items are optional or surprising in themselves: it's forgetting them that costs you money, in stress and last-minute credit card debt.

On a $450,000 purchase, add welcome tax, notary, inspection, adjustments and insurance: the bill often exceeds $10,000, to be paid in addition to the down payment. Also provide a cushion for the first months (small repairs, furnishing) and keep a written estimate of your costs before offering.

> EMILIE'S ADVICE
>
> *Upon pre-approval, request a written estimate of ALL closing costs for your price range, welcome tax included. We budget for the entire purchase, not just the entry.*

CHAPTER

Mistake #3 - Botching (or skipping) the inspection

> *Make inspection a real protection, not a formality.*

The mistake: forgoing the inspection to make your offer more “attractive” in a tight market, or choosing the first inspector to come along without reading his report. An undetected structural defect - foundation, roof, drain, pyrite - can cost tens of thousands of dollars.

The reflex that protects

- Make the promise to purchase conditional on an inspection by a recognized professional.
- Accompany the inspector and ask questions; read the entire report.
- In Quebec, monitor local points: clay soils, pyrite/pyrrhotite, French drain, buried tank, vermiculite.

A detected problem becomes leverage: renegotiate the price, demand fixes, or withdraw. This is exactly what the inspection condition allows.

A good inspection covers the structure, roof, envelope, plumbing, electrical and water evidence. In Quebec, stay attentive to regional issues - pyrite, clay soils, French drain, buried reservoir - depending on the sector and the age of the building. A detected defect also becomes a negotiation lever, not just a brake.

> EMILIE'S ADVICE
>
> *Never forgo the inspection just to “win” a bid. The house you land without an inspection could become the most expensive house of your life.*

CHAPTER

Mistake #4 - Letting emotion lead the offer

> *Keep a cool head, especially in a situation of multiple offers.*

The mistake: overbidding out of emotion, withdrawing conditions for fear of losing, or exceeding your limit "just this once". In a market of multiple offers, adrenaline pushes you to pay too much for the wrong reason.

The reflex that protects

- Set your absolute maximum price in advance - that of your comfort, not just your pre-approval.
- Offer based on a comparative analysis (similar recent sales), not on feelings.
- Remember that there will be other properties: none is so unique as to ruin your plan.

A "clean" offer (reasonable conditions, dates suitable for the seller, solid financing) often wins without being the highest.

Discipline beats adrenaline: decide in advance your ceiling price AND the conditions you refuse to give up (inspection, financing). A clean, well-financed offer often reassures the seller as much as an extra dollar - and saves you the regret of overpaying in an emotional response.

> EMILIE'S ADVICE
>
> *Write your ceiling price on a piece of paper before the negotiation, and agree not to exceed it. Your "you" of tomorrow will thank you.*

CHAPTER

Mistake #5 - Neglecting the neighborhood, resale and documents

> *Think beyond the crush: location, future value and documentary checks.*

The mistake: buying for decoration and forgetting what really weighs on value - location, resale, and (for a condo) the financial health of the co-ownership.

The reflex that protects

- Evaluate the neighborhood as an investment: transportation, schools, services, noise, projects, resale.
- For a condo, examine the declaration of co-ownership, the contingency fund, the budget and the minutes: an undercapitalized fund announces special contributions.
- Have the certificate of location and seller's declaration reviewed before finalizing.

We never renovate a location or a neighborhood: they are the ones who protect your stake on the day of resale.

The crush passes, the location remains: a well-served area sells better and protects your stake. For a condo, the financial health of the co-ownership (contingency fund, budget, minutes) weighs as much as the unit. Read all documents before lifting your conditions.

> EMILIE'S ADVICE
>
> *Always ask yourself the question of resale on the day of purchase. What is holding you back today (busy street, poorly managed condo) will also hold back your future buyer.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Check that I have an up-to-date pre-approval.
2. Obtain a written estimate of my total closing costs.

Within 30 days

1. Choose a recognized inspector and provide for the inspection condition.
2. Write my absolute ceiling price and my list of neighborhood criteria.

Then

1. Book a free consultation with Emilie to validate my offer strategy.

Before signing

1. Reread the promise to purchase and confirm in writing that all my conditions are lifted.
2. Confirm the exact amount to bring to the notary.

D-day

1. Make a final visit (pre-closing) to check the condition of the premises.
2. Bring my identity documents and proof of current home insurance.

REFERENCES

Resources & glossary

- Pre-approval: confirmed amount + guaranteed rate, often 90 to 120 days.
- Closing costs: welcome tax, notary, inspection, adjustments, insurance.
- Inspection condition: exit door and negotiation lever.
- Contingency fund: collective savings of a co-ownership for major works.
- Comparative analysis: recent sales of similar properties used to set the price.
- Welcome tax: transfer taxes charged by the municipality after the purchase.
- Adjustments: pro rata distribution of taxes and fees already paid by the seller.
- Multiple offers: multiple buyers submit at the same time; set your advance limit.
- Hidden defect: non-apparent defect making the property unfit for its use.
- Counter-offer: response from the seller modifying a term of your offer.
- Down payment: portion of the price paid in cash, excluding mortgage financing.
- Pre-approval: confirmed amount and guaranteed rate, valid for a limited period.

GO FURTHER

Quiz - test yourself

1. The best protection against overpayment is:

A) Visit a lot of houses
B) A solid pre-approval before shopping
C) Always offer the asking price
D) Avoid brokers

2. The “invisible” costs of a purchase can easily exceed:

A) $100
B) $1,000
C) $10,000
D) Nothing, it's all in the mortgage

3. Forgoing the inspection to “win” a bid is risky because:

A) It's illegal
B) An undetected hidden defect can be very expensive
C) The notary requires it
D) It has no impact

4. In a situation of multiple offers, it is especially necessary:

A) Remove all its conditions
B) Exceed your budget to win
C) Set a ceiling price in advance and stick to it
D) Offer at random

5. A “clean” offer is an offer:

A) Always the highest
B) Without any conditions
C) With reasonable conditions, suitable dates and solid financing
D) Done without a broker

6. For a condo, an essential document to examine is:

A) The menu of the neighboring restaurant
B) The contingency fund and the minutes
C) The color of the walls
D) Nothing in particular

7. What we can never renovate is:

A) The kitchen
B) Location and neighborhood
C) The bathroom
D) The coating

8. The welcome tax is paid:

A) Before the offer
B) Every month with the mortgage
C) After purchase, in one municipal payment
D) Never

9. The offer price should be based on:

A) The emotion of the moment
B) A comparative analysis of recent sales
C) The asking price, always
D) Neighbors' opinions

10. The recommended maintenance reserve is approximately:

A) 0%
B) 1% of the value per year
C) 10% per month
D) 50% on purchase

11. The inspection condition allows in particular to:

A) Change notary
B) Renegotiate, demand fixes or withdraw
C) Avoid the welcome tax
D) Cancel the mortgage

Answers

1. B - Pre-approval sets your ceiling and gives credibility to your offers (mistake #1).

2. C - Welcome tax, notary, inspection, adjustments, insurance add up (mistake #2).

3. B - The inspection is your protection against structural defects (mistake #3).

4. C - We decide our limit coldly so as not to overbid in emotion (error no. 4).

5. C - It reassures the seller as much as the amount (error no. 4).

6. B - An undercapitalized fund announces special contributions (mistake #5).

7. B - Location largely determines value and resale (mistake #5).

8. C - This is a municipal transfer tax payable after the transaction (error no. 2).

9. B - Comparables provide a rational basis (error no. 4).

10. B - About 1%/year covers roof, furnace, water heater, etc. (error #2).

11. B - This is a real lever in the event of a problem detected (error no. 3).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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